

FIAT CURRENCY VS REPRESENTATIVE CURRENCY

Unlike a currency backed by a commodity, such as gold, fiat money does not represent anything, nor can it be redeemed for a set amount of another commodity. The word *fiat* is Latin for "let it be done," and refers to the fact that fiat money is legal tender only because it is backed by a government decree. It has no intrinsic value.



Commodity-backed

Currency used to be backed by gold, which was known as the gold standard.

- **Based on a commodity** The value of money is tied to that of a commodity, such as gold.
- **Redeemable** Currency is redeemable for an equivalent amount of gold.
- **Limited** Money supply is limited by the supply of gold.



Government-backed (fiat)

The state backs paper and digital money—another type of fiat currency (see pp.88–89).

- **Not based on a commodity** Value is based on faith in the government and economy.
- **Not redeemable** Fiat money is not redeemable for anything.
- **Unlimited** The government is free to print more if it wishes.



Deposit accounts

Accounts specifically for saving money, rather than for daily use



Deposits with short notice periods

Savings accounts with a small notice period, such as 30 days, needed before funds can be accessed.



24-hour-maturity money market fund

Mutual funds invested in the money market for a quick 24-hour turnaround.



Government repurchase agreement

Securities that are sold and then bought back a day later.



Deposits with longer notice periods

Deposits that are not accessible for a long period of time



Over 24-hour maturity money market fund

Mutual funds invested in the money market for periods of time that are over 24 hours

Broad money

M2, M3, and M4 constitute broad money. This includes forms of money that are not immediately available in a spendable format, and which take time to access.

TAKING THE MEASURE OF THE ECONOMY

The government or the central bank decides which definition of money to use when assessing the money supply. For instance, the US government measures supply by M2, and, since 2006, no longer

includes data on M3.

Once the data is gathered, the state may decide to make changes to the reserve amount that banks must hold (see pp.90–91) or increase the money supply (see pp.92–95).

